MERIDIAN
CAPITAL

Tactical Deviation

Discretionary equity investing

One-third of the portfolio in six stocks

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USI · Asset Management Challenge 2026 · Round 2

Round 1 performance: return and risk

16 OCTOBER–6 NOVEMBER

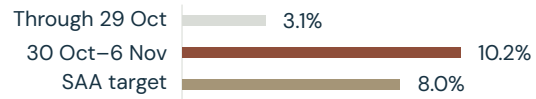
−2.885%

Ending NAV: $97.115m

Realized volatility	8.14%
SAA target	8.00%
Realized Sharpe	−6.50
Maximum drawdown	−3.67%

With only fifteen daily returns, a few losses have a large effect on annualized Sharpe.

ANNUALIZED VOLATILITY, %



Close to target, but uneven

Volatility over the whole period was 8.14%, but it rose sharply in the last week.

Loss and drawdown

Loss: 2.88%, compared with estimated 15-day VaR of 3.21%. Drawdown: 3.67%, against our 20% tolerance.

Closing prices, including $100,916.79 of VGSH/STIP distributions in NAV. 15-day 95% VaR uses the 8% SAA volatility target and $\sqrt{15/252}$. Submitted report, 4.

Round 1 performance: what drove the loss

CONTRIBUTION TO RETURN, PP



DBC accounts for 61% of the net loss.

Three days drove the loss

30 Oct: −0.60%; 2 Nov: −1.12%; 5 Nov: −1.46%. DBC fell 3.4% on 2 Nov; SPY fell 4.4% on 5 Nov.

More equity risk than planned

SPY and EEMV: about 71% of realized risk, versus 49% in the SAA. They moved closely together.

Partial offset

Opposite commodity and US-equity moves partly offset the extra risk.

Risk shares are estimates from fifteen daily returns.

Own computation from daily closes, including VGSH/STIP distributions. Risk shares use average weights and the covariance of the 15 daily returns. Submitted report, 4.

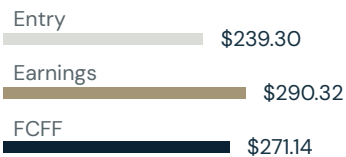
ADBE | Adobe

NAV ALLOCATION

4.65%

Earnings value: $290.32

GAAP EPS $18.145 × 16



Earnings margin of safety: 17.57%

Strong cash flow, with AI competition to watch

FCF margin is 41.4%, above history and peers. Cash values deduct SBC.

Catalyst

9 December: FY2027 outlook on renewals, prices and paid AI revenue.

Main risk

Customers may switch to cheaper AI tools. A 20% cash reduction gives a value of $216.54.

USD per share. Cash values use our FCFF assumptions. Submitted report, 2.1; issuer earnings release.

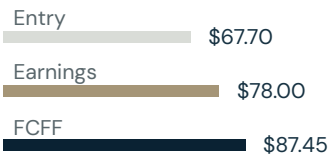
KR | Kroger

NAV ALLOCATION

8.10%

Earnings value: $78.00

Adjusted EPS $5.20 × 15



Earnings margin of safety: 13.21%

Steady grocery demand and good cash conversion

FCF margin is 2.3%, above history and peers. Grocery margins are thin.

Catalyst

3 December: results after the e-commerce reset: sales, fulfillment costs and guidance.

Main risk

Cash covers dividends 2.40×. Buybacks exceed the cash left after dividends.

USD per share. Cash values use our FCFF assumptions. Submitted report, 2.2; issuer earnings release.

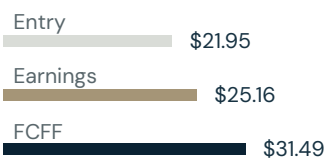
HRL | Hormel Foods

NAV ALLOCATION

6.90%

Earnings value: $25.16

Adjusted EPS $1.48 × 17



Earnings margin of safety: 12.76%

Margins and cash flow need to recover

We need margins to recover to justify 17× earnings. FCF margin is only 4.4%.

Catalyst

3 December: the new CEO's FY2027 outlook. We will watch Retail volumes and margins.

Main risk

Dividend cover falls from 1.17× to about 1.00× with acquisition debt and refinancing costs.

USD per share. Cash values use our FCFF assumptions. Submitted report, 2.3; issuer earnings release.

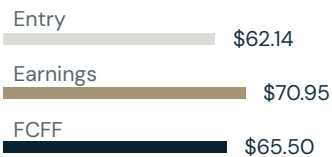
BMY | Bristol Myers Squibb

NAV ALLOCATION

6.33%

Earnings value: $70.95

Non-GAAP EPS $6.45 × 11



Earnings margin of safety: 12.42%

New medicines need to replace lost sales

We use 11× earnings and flat cash flow to allow for patent expiries.

Catalyst

12–15 December: ASH data. Milvexian/Sotyktu results are expected by year-end; exact dates are unknown.

Main risk

There is little room for weaker cash flow. A 2% annual decline for five years gives $58.59.

USD per share. Cash values use our FCFF assumptions. Submitted report, 2.4; issuer earnings release.

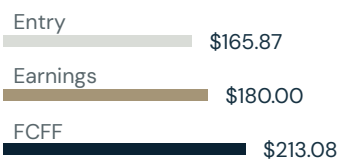
XOM | Exxon Mobil

NAV ALLOCATION

3.62%

Earnings value: $180.00

Cycle-normalized EPS $10.00 × 18



Earnings margin of safety: 7.85%

New projects could support future earnings

We estimate $10 EPS across the cycle. The cash model uses the same assumption.

Catalyst

Expected in Q4: Uaru start-up and the corporate plan. Neither event has a confirmed date.

Main risk

Weaker-cycle cash flow gives $166.61, close to entry. We already hold energy exposure through DBC.

USD per share. Cash values use our FCFF assumptions. Submitted report, 2.5; issuer earnings release.

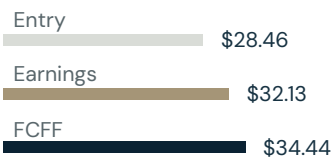
HPQ | HP

NAV ALLOCATION

3.73%

Earnings value: $32.13

GAAP EPS ($2.57 − $0.19) × 13.5



Earnings margin of safety: 11.42%

We remove the tariff refund from earnings

The refund is temporary. Negative equity also makes P/B and ROE hard to interpret.

Catalyst

24 November: FY2027 guidance. We will watch PC margins, memory costs and printing.

Main risk

Falling print sales or weaker cash flow would put pressure on earnings, dividends and buybacks.

USD per share. Cash values use our FCFF assumptions. Submitted report, 2.6; issuer earnings release.

How we valued the stocks

Normalized EPS × our chosen P/E = estimated value

Stock	Entry price	EPS	P/E	Value	Margin of safety
ADBE	$239.30	18.145	16×	$290.32	17.57%
KR	$67.70	5.2	15×	$78.00	13.21%
HRL	$21.95	1.48	17×	$25.16	12.76%
BMY	$62.14	6.45	11×	$70.95	12.42%
XOM	$165.87	10	18×	$180.00	7.85%
HPQ	$28.46	2.38	13.5×	$32.13	11.42%

Are the earnings sustainable?

We check guidance, one-off items, cash flow and peers.

What could change the price?

We check cash values, business risks and news expected before the challenge ends.

USD per share. Margin of safety = $1 - P/V$; upside = $V/P - 1$. EPS basis differs by company and is stated on each stock slide. Submitted report, 2 and 3.

Cash-flow assumptions

Stock	5-year growth	Terminal growth	WACC	FCFF value	Lower value
ADBE	8.0%	3.0%	13.08%	$271.14	$271.14
KR	3.0%	2.0%	6.31%	$87.45	$78.00
HRL	2.0%	2.0%	6.20%	$31.49	$25.16
BMY	0.0%	0.0%	5.83%	$65.50	$65.50
XOM	2.0%	2.0%	5.83%	$213.08	$180.00
HPQ	4.0%	3.0%	10.94%	$34.44	$32.13

Lower value = min(earnings, FCFF). We use the same debt policy in FCFF and FCFE. Terminal value is a large part of the result.

We deduct SBC and adjust for cash, debt and minority interests. The values depend on our starting cash flow, growth and discount rates.

Values in USD per share. Submitted report, 2.7; companion notebook.

Cash flow and value-trap risks

	FCF margin	Prior mean	Peer median	Main warning
ADBE	41.4%	38.1%	34.7%	Buybacks, leverage and AI competition
KR	2.3%	1.4%	2.1%	Payouts exceed cash available without new debt
HRL	4.4%	7.3%	8.7%	Thin dividend cover; acquisition debt
BMY	26.7%	27.6%	25.6%	Patent expiry and replacement medicines
XOM	7.3%	11.2%	12.3%	Cycle dependence and lower cash generation
HPQ	5.1%	5.8%	7.5%	Falling print sales and high payouts

Annual comparisons use the latest full year, up to three earlier years and the named peer groups. The cash valuations use the separately stated TTM or normalized inputs.

Submitted report, 2; annual quality inputs and peer comparisons in the notebooks.

Why we chose six stocks

	Five-stock IR maximum	Chosen six stocks
Forecast residual IR	0.698	0.696
Recent daily TE	8.68%	7.74%
Largest stock target	9.09%	8.10%

We compared all 420 three-to-six-stock combinations within nine researched positive-alpha cases. FDS, INTU and GILD were alternatives.

With six stocks, forecast IR is almost unchanged, while recent TE and the largest stock weight are lower. The largest stock still exceeds our additional 8% preference.

We compare the stocks we researched using the same weighting rule. Submitted report, 2.8; main notebook.

The portfolio we entered

INDIVIDUAL STOCKS

33.33%

ADBE · KR · HRL · BMY · XOM · HPQ

Our estimated values exceed entry prices. We checked cash flow and identified news expected during the challenge.

Monthly TE: 3.92%

The remaining two-thirds keep the original ETF proportions.

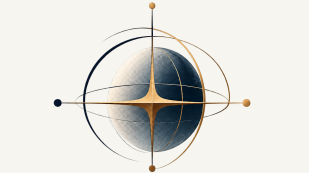
Main risks

Daily risk is higher, and prices may take time to adjust. BMY has little valuation cushion; Exxon's dates are uncertain.

Questions

Report Code and model

Entered 7 November at 6 November closing prices. The holdings and quantities match the submitted report.



Thank you

Final holdings and trades

Bloomberg ID	Shares	Entry price	NAV weight	Trade shares
SPY US Equity	22,964	$735.29	17.39%	−11,205
EEMV US Equity	89,717	$69.71	6.44%	−43,893
DBC US Equity	553,213	$31.54	17.97%	−245,543
SCHD US Equity	60,380	$35.17	2.19%	−35,108
VGSH US Equity	55,948	$57.86	3.33%	−30,723
STIP US Equity	186,996	$100.51	19.35%	−101,634
ADBE US Equity	18,865	$239.30	4.65%	+18,865
KR US Equity	116,215	$67.70	8.10%	+116,215
HRL US Equity	305,167	$21.95	6.90%	+305,167
BMY US Equity	99,004	$62.14	6.33%	+99,004
XOM US Equity	21,201	$165.87	3.62%	+21,201
HPQ US Equity	127,276	$28.46	3.73%	+127,276

USD throughout. Entry: 7 November; price: 6 November close. Cash: $116.05. NAV: $97,115,068.58. Securities: $97,114,952.53. Stocks: 33.33320% of NAV.

Positive trades are purchases; negative trades are sales. The extra SPY and Adobe shares are included. Submitted report, 5.

Sources and methods

Company information

Issuer releases, financial statements, investor calendars and the peer comparisons archived with the notebooks. Stock-specific links appear on the six company slides.

Market and risk inputs

Public prices and total returns; FRED Treasury rates. Monthly calibration: November 2021–October 2026. Entry prices: 6 November 2026 close.

Calculations and data

Two executed notebooks, saved inputs, result tables and Excel model. The submitted report and portfolio description use the same NAV and quantities.

The company information, assumptions and event dates are the same as in our submitted report.